

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.

COMPLAINANT’S FIRST MOTION TO COMPEL PRODUCTION OF DOCUMENTS

Complainant Visual Comfort & Co. (“VCC” or “Complainant”) hereby moves pursuant to 46 C.F.R. 502.147(a)(6) and 502.150 to compel Respondent COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) to produce certain documents that have been requested but not yet produced.

INTRODUCTION

During the case management conference on May 16, 2024 the parties discussed that production of documents has been delayed on both sides. Since this conference, Counsel for VCC has conferred with Counsel for COSCO to narrow and clarify its discovery requests in an effort to avoid this motion. Since that time COSCO has served a notice of deficiencies, to which VCC has responded, and VCC served supplemental responses and additional documents on May 31, 2024.¹ COSCO has also produced a small handful of documents containing three receipts to R&M Trucking and an email chain in which COSCO agreed to waive per diem fees for PMI Foods in May 2021.

¹ As COSCO noted in its motion to compel dated May 30, we expect that some or all, of the discovery issues raised herein may be resolved through further meet and confers and productions. VCC will promptly withdraw this motion in part or in its entirety in the event that these issues are resolved without the Presiding Officer’s involvement.

We hope that further discussions may resolve the matter in dispute without intervention from the Presiding Officer but given the requirement that motions to compel be filed before May 31, 2024, VCC makes this motion asking the Presiding Officer to order timely production so that the parties may proceed to deposition and, perhaps most importantly, so that VCC's expert may render his opinions and report.

FIRST REQUEST FOR DOCUMENTS

VCC hereby requests the Presiding Officer order Respondent to produce documents responsive to the following requests fully and in a timely manner.

1. **RFD4** asks Respondent to Produce all service contracts and other agreements during the relevant time period between Respondent and the parties identified in Respondent's Initial Disclosures.

Response: Respondent objects to this RFD as overly broad, vague, and unduly burdensome with respect for its request for "all service contracts and other agreements" as it relates to the third parties identified in Respondent's Initial Disclosures. Moreover, as the third-party service contract Respondent has identified as responsive to this are subject to confidentiality provisions, Respondent is prohibited from producing them without an order of the Presiding Officer.

2. **RFD5** asks Respondent to "Produce all receipts issued to any third parties who forwarded detention, demurrage, and storage payments from Complainant during the relevant time period."

Response: Respondent objects to this RFD as overly broad, vague, and unduly burdensome. Respondent is withholding a response to this RFD based on these general and specific objections, and the fact that no such receipts exist as every receipt issued by Respondent was to an entity liable directly to COSCO. COSCO has no way of identifying what Complainant may or may not have paid third parties.

This Request seeks receipts for Charges accessed by COSCO to third parties carrying Complainant's goods. This request is reasonable because (1) those Charges are understood to have been directly passed on to VCC; and (2) VCC stands in the shoes of RIM Logistics, which was accessed those same Charges. COSCO's Response is insufficient because it misrepresents the purpose and scope of the request. VCC is not requesting information related to "what Complainant may or may not have paid third parties," but rather what third parties paid COSCO for detention, demurrage, and storage payments. Additionally, this request is narrowly tailored to those payments relevant to the shipments at issue. As discussed with counsel for COSCO previously, VCC has already produced, and will continue to produce, identifying information for the shipments at issue.

3. RFD6 asks Respondent to, "Produce all correspondence to or from Respondent and the parties identified in Claimant's and Respondent's Initial Disclosures during the relevant time period related to: (1) the number of "free days" offered to shippers and their freight forwarders in light of port congestion; (2) lack of return locations for empty containers; (3) delays clearing empty containers; (4) redirecting traffic to less congested ports; (5) whether terminals should remain designated as 'open for returns,' and; (6) the decision to continue to accept goods for receipt handling storage or deliver while here was insufficient space in port(s)."

Response: Respondent objects to each of these RFDs as irrelevant to any claims or defenses that have arisen or may arise in this proceeding. Further, this request for documents is overly broad and unduly burdensome with respect to its demand for “correspondence to or from Respondent and the parties identified in Claimant’s and Respondent’s Initial Disclosures.” Without waiving these objections, Respondent is producing documents numbered Attorney’s Eyes Only COSCO_000001-000018.

Respondent’s objection is without justification and misstates the scope of the request, which is precisely limited to those communications relevant to the claims at issue in this case and between those entities that the Respondent affirmatively listed in its Initial Disclosures as possessing knowledge of relevant facts. Accordingly, COSCO’s conclusory statement that the request is overly broad and burdensome is without grounds.

SUPPLEMENTAL REQUESTS FOR DOCUMENTS

VCC hereby requests the Presiding Officer order Respondent to produce documents responsive to the following requests fully and in a timely manner.

1. **Suppl. RFD1** asks Respondent to, “Produce Respondent’s monthly demurrage, detention, per diem, and yard storage income for the years 2019 through 2023.”

COSCO Response: Objection. The request is irrelevant and unduly burdensome.

This Request seeks non-public information on COSCO’s detention, per diem, and yard storage income, which are the charges at the heart of VCC’s claims. COSCO’s burden objection is without merit. VCC is requesting generalized and periodic income data for four recent years that directly reflects direct benefits and incentives for the improper activity alleged in VCC’s Complaint. During the parties’ May 21, 2024 meet and confer COSCO stated that

this data would be unduly burdensome to produce on a monthly basis, but that it is available on a quarterly basis. VCC then notified COSCO that quarterly data would be acceptable. *See* Attachment C. VCC therefore requests that COSCO confirm it will produce responsive documents.

2. Suppl. RFD3 requests that COSCO “Produce Respondent’s monthly demurrage, detention, per diem, and yard storage income from shipments that contained Complainant’s products for the years 2019 through 2023, including overall load and capacity information for relevant eastbound voyages.”

Response: Objection. The request is irrelevant and unduly burdensome.

COSCO cannot in good faith claim that the income it received from the shipments that VCC alleges were subject to improper and excessive fees are not relevant to this case. COSCO previously agreed to produce data on a quarterly basis for shipments identified by VCC and should not now be permitted to claim that the information related to the Charges that are the basis of VCC’s Complaint are not discoverable without any explanation or authority in support.

3. Suppl. RFD4 asks Respondent to, “Produce Respondent’s total annual revenue from shipments that contained Complainant’s products for the years 2019 through 2023, including overall load and capacity information for relevant eastbound voyages.”

Response: Objection. The request is irrelevant and unduly burdensome.

COSCO’s objection to this request is invalid because it offers no explanation for the basis of COSCO’s objections. This Request is clear and narrowly tailored to the issues of the

Complaint, especially in light of prior agreements made concerning production under this Request as seen in Attachment C

4. Suppl. RFD5 asks Respondent to “Produce all correspondence between Respondent and Complainant or RIM Logistics, Ltd. relating to demurrage, detention, per diem, and yard storage, including but not limited to free time, port congestion, equipment shortages, lack of appointments for container pick-ups and returns, return capacity at terminals, and restricted access to terminals.”

Response: “Respondent produces documents marked [Attorney’s Eyes Only COSCO_00001-000018.”

COSCO’s response to this Request to date is insufficient. VCC understands and appreciates that this response is subject to supplementation as both parties continue an expedited document collection process, and looks forward to receiving further documents responsive to this Request as discovery continues.

ARGUMENT

FMC Rule 150 authorizes the Presiding Officer to compel the production of documents where the party responding to a request for production has failed to respond, has made an inadequate response, or has hidden behind specious objections. 46 CFR 502.150. As detailed above, Respondent has either not yet provided any documents identified as responsive to a specific VCC RFD or insisted upon specious objections claiming that periodic income and shipping data regarding the Charges at issue are burdensome and not relevant. COSCO has not objected to any of the document requests on grounds of relevance (or lack thereof) or burden. Quite to the contrary, VCC has stated that it will provide documents, if any exist, responsive to COSCO’s requests. Accordingly, VCC moves to compel COSCO to honor the agreements it made during our previous consultation, subject to the clarifications and compromises detailed in

the same and herein. We are happy to discuss with COSCO Counsel expected dates for production by COSCO (and VCC), subject to whatever revised Schedule the Presiding Officer may set.

CONSULTATION

The parties' consultation is described herein and VCC expects consultation to continue.

CONCLUSION AND REQUESTED RELIEF

Based on the foregoing, Complainant respectfully requests that the Presiding Office issue an Order requiring the timely and complete production of documents responsive to Complainant's requests.

DATED: May 31, 2024

Respectfully submitted,

/s/ Jennifer M. Oliver

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CERTIFICATE OF SERVICE

I certify that on the 31st day of May, 2024, a true and correct copy of the foregoing Motion to Compel and Attachments were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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